

Diversify

BEGINNER

PRACTICE WORKSHEET

Grab a pen and check how concentrated your own investments really are. There's no wrong answer here — the goal is just to build a feel for your own diversification.

■ Section 1 — Your Current Mix

Total amount you currently have invested:

\$

Your single largest individual holding (name it):

Amount invested in that single largest holding:

\$

Roughly how many different companies/funds do you currently hold across your whole portfolio?

■ Section 2 — Do the Maths

$\% \text{ in largest holding} = (\text{Amount in largest holding} \div \text{Total invested}) \times 100$

Your % in your single largest holding:

%

If that holding dropped to zero, amount you'd lose ($\$ = \% \times \text{total invested}$):

\$

Is your % above or below the common 10% single-stock guideline?

Tip: if the maths feels fiddly by hand, use the interactive Concentration Risk Simulator on the Diversify lesson page at growthcapitalgroup.org to check your answer.

■ Section 3 — Reflection

Is any single company, sector, or asset class making up an unusually large share of your investments?

What's one small step you could take this month to spread your money across a few more investments?

What's stopping you from diversifying further, and how could you address it?